CASCADIA ANALYTICS

Amazon.com, Inc.

Equity Research Note | AMZN | 22 OCTOBER 2026

AWS reacceleration is real

Amazon.com, Inc. screens as a Hold, Valuation Concerns with a $193.77 blended target, 23% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$250.38	$193.77	-23%	HOLD, VALUATION CONCERNS

Investment Thesis

The price demands perfection. AWS is reaccelerating (37% growth in Q2 2026, the fastest in 18 quarters) on a contracted backlog that more than doubled to $496B, while the $220B AI capex cycle holds reported free cash flow below the earnings power the build is creating. Our DCF base is $195.07 against a $250.38 reference price, with only the bull case ($260.97) above the price: the market prices roughly 14% terminal FCF margins against the 10.5% we model. Hold, Valuation Concerns

- AWS reacceleration is real
- The capex cycle masks the earnings power
- The price demands perfection

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The latest print

The capex cycle masks the earnings power. TTM operating cash flow is $161.4B (+33%) while FCF is -$7.6B; the $220B AI build is the entire debate. FY2025 still delivered $80.0B operating income at an 11.2% margin.

The price demands perfection. Our DCF base is $195.07 vs $250.38 spot; only the bull case ($260.97) sits above the price, 4% higher. The market prices ~14% terminal FCF margins; we model 10.5%. Hold, Valuation Concerns.

$775.7B	$42.2B	$496B	$161.4B	-$7.6B	$9.56B net debt
REVENUE (LTM)	AWS Q2-2026 REVENUE	AWS CONTRACTED BACKLOG	OPERATING CASH FLOW (TTM)	FREE CASH FLOW (TTM)	NET DEBT POSITION

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (LTM)	$775.7B	+12% FY25	Up
AWS Q2-2026 revenue	$42.2B	+37% YoY	Up
AWS contracted backlog	$496B	More than doubled	Up
Operating cash flow (TTM)	$161.4B	+33% YoY	Up
Free cash flow (TTM)	-$7.6B	AI capex cycle	Down
Net Debt Position	$9.56B net debt	$132.5B debt / $123.0B cash	Stable

The moat

AWS AI supercycle: Q2 2026 revenue $42.2B, up 37% YoY, the fastest growth in 18 quarters; contracted backlog more than doubled to $496B. Compute scarcity reprices the incumbent's fleet higher.

The growth engine

Talen Energy $1.8B nuclear acquisition secures grid-independent power, turning data center build moratoriums into a moat against tier-two cloud providers.

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	7.0%	$1,087.96B	13.5%	**$123.95**	-50%
Base	50%	11.0%	$1,307.10B	16.5%	**$195.07**	-22%
Bull	25%	15.0%	$1,560.21B	18.0%	**$260.97**	+4%

Bear: downside case at $123.95 (-50%).

Base: central case at $195.07 (-22%).

Bull: upside case at $260.97 (+4%).

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The probability-blended target implies 23% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -23% from the $250.38 reference price.

$193.77
BLENDED TARGET

The valuation uses a five-year detailed EBIT bridge (FY2027-2031): revenue to EBIT to cash taxes at 19%, plus D&A, less capex and working-capital investment (a source of cash for Amazon, as in the filed record) to reach unlevered free cash flow. The discount rate is a CAPM build on the live risk-free rate and the workbook's market-implied equity risk premium, with beta decaying from 1.456 to a 1.15 terminal beta, so the WACC path runs 10.14% down to a 9.05% terminal rate.

Terminal value is struck on a normalized terminal year: the Gordon formula capitalizes FY2031 free cash flow with capex set to the D&A level (10.0% of revenue in the Base case), not the displayed FY2031 capex of 8.0%, because the explicit forecast still carries the AI buildout. The Base terminal EBIT margin of 16.5% (Bull 18.0%) sits above Amazon's filed peak operating margin of 11.2% (FY2025); the step-up is the model's AWS-mix judgment, disclosed here rather than bridged segment by segment. Targets are divided by 10,903M diluted shares (weighted average for Q2 2026).

Valuation horizon	**2027-2031**
Live WACC	**10.14%**
WACC path (Year 1 to final year)	**10.14% to 9.05%**
Terminal growth	**2.5%**
Net debt	**$9.56B**
2031 FCF (Base)	**$203.43B**
10-year Treasury yield	**5.0%**
Beta	**1.46**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $193.77 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 21.7%, above Bull (15%) — euphoric.

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Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-20%	$441.1B	$39.58	+0%	$1126.5B	$102.44	+20%	$2566.8B	$234.54
-19%	$463.5B	$41.63	+1%	$1177.0B	$107.07	+21%	$2667.2B	$243.75
-18%	$486.9B	$43.78	+2%	$1229.4B	$111.88	**+22%**	**$2770.8B**	**$253.25**
-17%	$511.4B	$46.03	+3%	$1283.7B	$116.86	+23%	$2877.7B	$263.06
-16%	$536.9B	$48.37	+4%	$1340.1B	$122.03	+24%	$2988.0B	$273.18
-15%	$563.6B	$50.82	+5%	$1398.5B	$127.39	+25%	$3101.8B	$283.62
-14%	$591.4B	$53.37	+6%	$1459.1B	$132.95	+26%	$3219.2B	$294.38
-13%	$620.5B	$56.03	+7%	$1521.9B	$138.71	+27%	$3340.1B	$305.47
-12%	$650.7B	$58.81	+8%	$1586.9B	$144.67	+28%	$3464.8B	$316.91
-11%	$682.3B	$61.70	+9%	$1654.3B	$150.85	+29%	$3593.3B	$328.70
-10%	$715.1B	$64.71	+10%	$1724.0B	$157.24	+30%	$3725.7B	$340.84
-9%	$749.4B	$67.85	+11%	$1796.1B	$163.86	+31%	$3862.1B	$353.35
-8%	$785.0B	$71.12	+12%	$1870.8B	$170.71	+32%	$4002.6B	$366.23
-7%	$822.1B	$74.52	+13%	$1948.1B	$177.80	+33%	$4147.2B	$379.50
-6%	$860.7B	$78.06	+14%	$2028.0B	$185.12	+34%	$4296.1B	$393.15
-5%	$900.8B	$81.75	+15%	$2110.6B	$192.70	+35%	$4449.3B	$407.21
-4%	$942.6B	$85.57	+16%	$2196.0B	$200.53	+36%	$4607.0B	$421.67
-3%	$986.0B	$89.55	+17%	$2284.2B	$208.62	+37%	$4769.3B	$436.55
-2%	$1031.1B	$93.69	+18%	$2375.4B	$216.99	+38%	$4936.2B	$451.86
-1%	$1077.9B	$97.98	+19%	$2469.5B	$225.62			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1,360.98B	—	2.5%	-$9.56B	$1,351.42B	**$123.95**
Base	$2,136.44B	—	2.5%	-$9.56B	$2,126.88B	**$195.07**
Bull	$2,854.93B	—	2.5%	-$9.56B	$2,845.37B	**$260.97**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 82.1% of Base enterprise value (Bear 87.5%, Bull 80.2%). The terminal WACC is 9.05% in Base (Bear 9.05%, Bull 9.05%), on a terminal beta of 1.15 (Bear 1.15, Bull 1.15).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$123.95	$136.52	$152.95	$167.16	$178.89	$187.10
Base	$195.07	$214.85	$238.35	$257.65	$270.01	$278.76
Bull	$260.97	$287.43	$315.91	$339.84	$355.68	$366.48

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $193.77 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

AWS AI supercycle: Q2 2026 revenue $42.2B, up 37% YoY, the fastest growth in 18 quarters; contracted backlog more than doubled to $496B. Compute scarcity reprices the incumbent's fleet higher.

Talen Energy $1.8B nuclear acquisition secures grid-independent power, turning data center build moratoriums into a moat against tier-two cloud providers.

Advertising $19.8B in Q2, up 26% YoY and outgrowing total sales; the highest-margin growth engine in the portfolio.

Anthropic committed to spend more than $100B with AWS over ten years, locking in contracted demand visibility.

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	LTM
Revenue ($B)	514.0	574.8	638.0	716.9	775.7
Revenue growth %	9%	12%	11%	12%	~8%
Operating income ($B)	12.2	36.9	68.6	80.0	n/a
Free cash flow ($B)	n/a	n/a	38.2	11.2	-7.6
AWS revenue growth %	29%	13%	19%	19.7%	37% (Q2)

Valuation cross-check

DCF Base $195.07

DCF Blended $193.77

DCF Bull $260.97

EV/Revenue (LTM) 3.6x

Base case implies 22% downside at $250.38. The bull case sits 4% above spot: the market prices ~14% terminal FCF margins versus our 10.5% base. Valuation is the binding constraint on the rating.

Peer multiples not pulled in this build

Absolute DCF is the binding valuation input; the 22% downside to base stands on its own.

EV/Revenue 3.6x on LTM revenue

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Multiple sits above the historical range for a retailer but below peak cloud multiples; it prices sustained AWS acceleration plus a full capex normalization.

What to monitor

Oct 29, 2026. Q3 earnings. AWS growth rate and the trajectory of 2026 capex ($220B guided) in focus.

Ongoing. AWS capacity additions vs contracted demand; Trainium and Graviton each past $25B annual run rate.

FY26. FCF normalization path as the AI buildout peaks; FY2025 FCF was $11.2B, TTM is -$7.6B.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$469.8B	—	$24.9B	—
2022	$514.0B	$225.2B	$12.2B	$38.4B
2023	$574.8B	$270.0B	$36.9B	$89.4B
2024	$638.0B	$311.7B	$68.6B	$123.8B
2025	$716.9B	$360.5B	$80.0B	$165.3B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$420.5B	—	$138.2B	$36.2B
2022	$462.7B	$316.6B	$146.0B	$53.9B
2023	$527.9B	$326.0B	$201.9B	$73.4B
2024	$624.9B	$338.9B	$286.0B	$78.8B
2025	$818.0B	$407.0B	$411.1B	$86.8B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$46.3B	—	$6.3B	—
2022	$46.8B	$-63.6B	$9.7B	$-16.9B
2023	$84.9B	$-52.7B	$-15.9B	$32.2B
2024	$115.9B	$-83.0B	$-11.8B	$32.9B
2025	$139.5B	$-131.8B	$9.7B	$7.7B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $193.77 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 65 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 8.85% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $403.75M of sales, a net flow of -$403.75M. One-year total shareholder return is +18.7% against CEO total pay of $2.07M (Mr. Andrew R. Jassy), which the model scores as PERFORMANCE EARNED.

65

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	25 / 40	8.85% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $403.75M (24), net -$403.75M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +18.7%; Mr. Andrew R. Jassy, President, CEO & Director, total pay $2.07M
Agency Risk Score	**65 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-01	Herrington Douglas J	Officer	SELL	1,000	$251.5K
2026-09-01	Herrington Douglas J	Officer	SELL	1,000	$254.8K
2026-08-24	Zapolsky David A.	Officer	SELL	15,430	$4.00M
2026-08-21	Garman Matthew S	Officer	SELL	14,541	$3.77M
2026-08-21	Herrington Douglas J	Officer	SELL	6,362	$1.65M
2026-08-21	Olsavsky Brian T.	Chief Financial Officer	SELL	6,172	$1.61M
2026-08-21	Jassy Andrew R.	Chief Executive Officer	SELL	20,000	$5.18M
2026-08-21	Reynolds Shelley L	Officer	SELL	2,343	$606.9K

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker, so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

AI capex ROI

2026 cash capex guided to $220B (raised from $200B) with TTM FCF at -$7.6B. If AI returns disappoint, the spending is sunk and the multiple compresses.

Elevated expectations

At $250.38 the stock prices ~14% terminal FCF margins, well above our 10.5% base case. Any AWS deceleration or margin stall would likely trigger a sharp derating from 3.6x EV/Revenue.

Regulatory overhang

FTC ad-pricing lawsuit alleges inflated seller fees; advertising (+26% YoY, ~$20B/quarter) is the highest-margin growth engine and the case could take years to resolve.

The strengths

Operating Quality

AWS reaccelerating (37%, fastest in 18 quarters), ads +26%, TTM operating cash flow $161.4B (+33%). Offset: company is FCF-negative (-$7.6B TTM) at the peak of a $220B AI capex cycle, and consolidated margins still lean on AWS to carry thin retail.

Recent Trend

AWS growth has climbed five straight quarters (16.9% to 37%); contracted backlog more than doubled to $496B; Q2 revenue $200.6B with operating income guide-up. FY2025 delivered $716.9B revenue (+12%) and $80.0B operating income (11.2% margin).

Forward Growth

AI compute scarcity favors the scaled incumbent; the Talen nuclear deal buys grid independence; Anthropic's $100B+ ten-year AWS commitment locks in demand; advertising grows 26% at very high margins. Structural multi-year drivers across all three profit engines.

Valuation

DCF base $195.07 vs $250.38 spot implies 22% downside; only the bull case ($260.97) sits above the price. The market is pricing ~14% terminal FCF margins versus our 10.5% base, leaving no room for capex overruns or AWS deceleration.

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Cascadia scorecard

Composite score 64: Fair. Confidence High, as of 2026-10-18.

PILLAR	RATIONALE	SCORE
Operating Quality	AWS reaccelerating (37%, fastest in 18 quarters), ads +26%, TTM operating cash flow $161.4B (+33%). Offset: company is FCF-negative (-$7.6B TTM) at the peak of a $220B AI capex cycle, and consolidated margins still lean on AWS to carry thin retail.	72
Recent Trend	AWS growth has climbed five straight quarters (16.9% to 37%); contracted backlog more than doubled to $496B; Q2 revenue $200.6B with operating income guide-up. FY2025 delivered $716.9B revenue (+12%) and $80.0B operating income (11.2% margin).	78
Forward Growth	AI compute scarcity favors the scaled incumbent; the Talen nuclear deal buys grid independence; Anthropic's $100B+ ten-year AWS commitment locks in demand; advertising grows 26% at very high margins. Structural multi-year drivers across all three profit engines.	80
Valuation	DCF base $195.07 vs $250.38 spot implies 22% downside; only the bull case ($260.97) sits above the price. The market is pricing ~14% terminal FCF margins versus our 10.5% base, leaving no room for capex overruns or AWS deceleration.	35
Catalysts & Risk	Q3 print on Oct 29, 2026 is the near-term test of AWS momentum vs capex. Key risks: $220B AI capex must earn returns, the FTC ad-pricing lawsuit overhangs the fastest-growing profit pool, and the multiple derates sharply on any guide-down.	60

Investment view

AWS growth holding above 35% with 2026 capex peaking at or below the $220B guide would support a higher target. A capex guide-up paired with AWS decelerating below 25% would break the margin-expansion case and cut the target further.

Investment view: Hold, Valuation Concerns. The $193.77 blended target implies -23%, balancing the $123.95 / $195.07 / $260.97 Bear / Base / Bull outcomes.

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